



MEMORANDUM

CN - No. 2024-0010

THE PHILIPPINE STOCK EXCHANGE, INC.

- | | |
|---|--|
| ☒ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☐ Others: |

TO : THE INVESTING PUBLIC AND TRADING PARTICIPANTS

SUBJECT : APPROVED RULES ON VWAP TRADING

DATE : February 01, 2024

Please be advised that the Securities and Exchange Commission (SEC) has approved the PSE Rules on Volume Weighted Average Price (VWAP) Trading ("VWAP Trading Rules"). Accordingly, relevant provisions in the PSE Trading Rules and its Implementing Guidelines were amended to incorporate the VWAP Trading Rules.

The approved VWAP Trading Rules, attached herewith as **Annex "A,"** shall take effect immediately.

The Exchange shall advise the public in due course of the official launch and implementation of the VWAP Trading Rules.

For your information and guidance.

(Original Signed)
RAMON S. MONZON
President and CEO

CMDD	FD	IRD	MOD	TD	HRD / RISK / SU	CCD / FMD / AD	OGC	COO
Tel. No.: (632) 8876-4888					E-mail Address: investing@pse.com.ph			

REVISED TRADING RULES

ARTICLE I
DEFINITIONS AND CONSTRUCTIONS

SECTION 1. Definition of Terms

...

"**VWAP Transaction**" shall mean a pre-arranged transaction executed at the volume weighted average price of a Security. A VWAP Trade is executed by a Trading Participant for different clients or its proprietary account through the VWAP trading facility of the Exchange, subject to the Exchange's discretion to subsequently make the VWAP trading facility available for two-firm trading on a date to be determined by the Exchange and subject to prior approval of the Commission.



...

ARTICLE II TRADING DAY SCHEDULE

...

SECTION 2. Trading Hours

The Exchange shall determine the hours and schedule of a Trading Day. Unless the Exchange decides otherwise, a Trading Day shall conform to the following schedule:

For half-day trading:

- 9:00 a.m. - Pre-Open
- 9:15 a.m. - Pre-Open No Cancel
- 9:30 a.m. - Market Open
- 11:57 a.m. - Pre-Close
- 11:59 a.m. - Pre-Close No Cancel
- 12:00 nn - Run-off/Trading-at-Last
- 12:10 p.m. - Closing VWAP Session
- 12:25 p.m. - Market Close

For whole day trading:

- 9:00 a.m. - Pre-Open
- 9:15 a.m. - Pre-Open No Cancel
- 9:30 a.m. - Market Open
- 12:00 nn - Market Recess
- 1:00 p.m. - Market Resume
- 2:45 p.m. - Pre-Close
- 2:48 p.m. - Pre-Close No Cancel
- 2:50 p.m. - Run-off/Trading-at-Last
- 3:00 p.m. - Closing VWAP Session
- 3:15 p.m. - Market Close

The Exchange may effect changes to the hours and schedule of a Trading Day, as the circumstance warrants.



ARTICLE VI VWAP TRADING

SECTION 1. General Provisions

- a. VWAP Trading shall be allowed by the Exchange.
- b. It shall only be executed during the VWAP Trading session set by the Exchange.
- c. All transactions executed during the VWAP Trading session shall be executed only at the VWAP computed by the Exchange.
- d. VWAP transactions shall be settled based on Clearing Agency Rules.

SECTION 2. Trading

- a. Unless otherwise provided herein, other provisions of the PSE Trading Rules shall apply to VWAP Trading in the same manner as they apply to regular trades.
 - b. VWAP Trading shall comply with the conditions set out in the Implementing Guidelines of these Rules.
 - c. VWAP Trading is not allowed for a currently suspended or halted Security.
 - d. Only authorized Salesmen/Traders of the TP shall be allowed to execute VWAP transactions.
 - e. The Order value limit set by the TP for each of its Salesmen/Traders shall also apply in VWAP Trading.
- 

IMPLEMENTING GUIDELINES

II TRADING HOURS

Unless the Exchange provides otherwise, the trading of Securities in the Exchange will be governed by the following schedule of trading hours:

For half-day trading

9:00 a.m.	PRE-OPEN No matching of Orders can occur, but Trading Participants (TPs) can enter, modify, or cancel Orders.
9:15 a.m.	PRE-OPEN NO CANCEL TPs are allowed to enter Orders but cannot cancel or modify Orders.
9:30 a.m.	OPENING Opening Price for all Securities is calculated. The Order book is frozen and Order entry, modification and cancellation by TPs are not allowed.
9:30 a.m.	CONTINUOUS TRADING Orders are automatically matched at the Best Price in accordance with the PSE Trading Rules.
11:57 a.m.	PRE-CLOSE This is the same as Pre-Open. TPs can enter, modify or cancel Orders.
11:59 a.m.	PRE-CLOSE NO CANCEL TPs are allowed to enter Orders but cannot cancel or modify Orders.
12:00 nn	RUN-OFF/TRADING-AT-LAST TPs can enter Orders at the Closing Price only.
12:10 p.m.	CLOSING VWAP SESSION TPs are allowed to execute transactions but only at VWAP.
12:25 p.m.	MARKET CLOSE End of trading. TPs cannot enter, modify or cancel Orders.

For whole day trading

9:00 a.m.	PRE-OPEN No matching of Orders can occur, but TPs can enter, modify, or cancel Orders.
9:15 a.m.	PRE-OPEN NO CANCEL TPs are allowed to enter Orders but cannot cancel or modify Orders.
9:30 a.m.	OPENING Opening Price for all Securities is calculated. The Order book is frozen and Order entry, modification and cancellation by TPs are not allowed.
9:30 a.m.	CONTINUOUS TRADING Orders are automatically matched at the Best Price in accordance with the PSE Trading Rules.
12:00 nn	MARKET RECESS Trading for all Securities is not allowed. TPs cannot enter, modify or cancel Orders.
1:00 p.m.	MARKET RESUME/CONTINUOUS TRADING Orders are automatically matched at the Best Price in accordance with the PSE Trading Rules.
2:45 p.m.	PRE-CLOSE This is the same as Pre-Open. TPs can enter, modify or cancel Orders.
2:48 p.m.	PRE-CLOSE NO CANCEL TPs are allowed to enter Orders but cannot cancel or modify Orders.
2:50 p.m.	RUN-OFF/TRADING-AT-LAST TPs can enter Orders at the Closing Price only.
3:00 p.m.	CLOSING VWAP SESSION TPs are allowed to execute transactions but only at VWAP.
3:15 p.m.	MARKET CLOSE End of trading. TPs cannot enter, modify or cancel Orders.

mw

XXV VWAP TRADING

1. VWAP transactions can only be executed through the trading facilities of the Exchange in accordance with the following parameters:
 - a. The execution price shall be computed based on the volume-weighted average price for the Security in a given Trading Day;
 - b. The VWAP shall not exceed four (4) decimal places; and
 - c. The value of the VWAP transaction shall be no less than PhP500,000.
2. Except Block Sales, intentional cross and Odd Lot transactions, all other trades shall be included in the VWAP computation for the Security.
3. VWAP transactions can only be executed within fifteen (15) minutes after the Run-off/Trading-at-Last Period.

If there is delay in the display of VWAP of a Security, the Exchange shall suspend the Closing VWAP Session and immediately make an announcement to the Trading Participants. If the issue is resolved with at least five (5) minutes remaining in the Closing VWAP Session, the Exchange will resume the Closing VWAP session. However, if the issue persists and there is less than five (5) minutes remaining in the Closing VWAP Session, the Exchange shall cancel VWAP trading for the day.

4. VWAP transaction may only be executed by a single Trading Participant, provided that the Exchange shall have the option to subsequently make the VWAP trading facility available for two-firm trading on a date to be determined by the Exchange and subject to prior approval of the Commission.
5. VWAP transactions shall be included in the End-of-Day reports.



THE PHILIPPINE STOCK EXCHANGE, INC.

(original signed)

RAMON S. MONZON
President and Chief Executive Officer

(original signed)

ROEL A. REFRAN
Chief Operating Officer

SECURITIES AND EXCHANGE COMMISSION

(original signed)

VICENTE GRACIANO P. FELIZMENIO, JR.
Director
Markets and Securities Regulation Department